The Waterfront Brief

Weekly sustainment intelligence for naval shipyard leadership · Naval shipbuilding, ship repair, and fleet sustainment

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The Navy's four public shipyards have fewer workers than at any time since 2018, while private yards employ more than ever and public-yard trades face a frozen raise. Money Congress labeled for shipyard maintenance is going to Army vehicles and Marine aircraft, and the ship maintenance account came through the war untouched. A washer with no stock number cost the Navy a $60 million jet. The fiscal 2029 Standard Items drop the spark arrestor and put an engineer on hard lifts. And the Navy is practicing wartime repair in Japanese ports away from Yokosuka.

How to read this: where a sentence names where something came from, those words are a link to the source itself, and the sentence says what that source says. A sentence with no link is this desk's analysis, built only on the linked facts above it. Two warnings are still written out in the text: Speculation, and Unverified for a claim nobody here could check against a primary source, with the reason it could not be checked.

> **Correction, 2026-10-24:** In the article on public shipyards losing people, the sentence saying the Steelworkers' contract for nearly 10,000 Newport News shipbuilders expires February 7 is removed, and the bottom line no longer says Newport News bargains a new contract this winter. The date came from the union's 2022 release of a 60-month contract. HII's annual report for 2025, filed with the SEC in February 2026 (https://www.sec.gov/Archives/edgar/data/1501585/000150158526000006/hii-20251231.htm), says its three Newport News agreements expire in February 2030, December 2030 and April 2031, so no Newport News contract expires this winter. Ruled by the editor; logged on the corrections page.

BUSINESS PRACTICES & STRATEGY

The public shipyards are losing people while private yards hire to a record

The Navy's four public shipyards have fewer workers than at any time since 2018, and private shipyards employ more people than ever. Anyone counting on public-yard trades in 2027 should start from that gap.

Bureau of Labor Statistics data for the four counties that hold the public yards show federal ship repair jobs fell by 974 in October 2025, from 37,153 to 36,179. Every yard lost people that month: Puget Sound 397, Portsmouth 300, Norfolk 209 and Pearl Harbor 68.

The losses kept going, the bureau's counts show. By December the four were down to 35,822, the fewest since June 2018, and in March, the latest month published, they were still at 35,843.

Private yards went the other way. Private shipbuilding and repair employed 110,946 people nationwide in March, up 3,133 in a year and the most since at least 2014, according to the same data.

The timing points at the government's deferred resignation offer. The Office of Personnel Management's guidance, as read October 9, says those separations took effect September 30, 2025, the day before the shipyard drop.

Unverified: whether the October losses are those resignations. The Navy has published no count by yard, so the cause could not be checked.

Pay will not pull people back soon. The President's August 26 pay letter holds 2027 federal pay at 2026 rates, and the personnel office held the trades' 2026 raise to 1 percent, the white-collar figure, under a cap Congress has extended.

Congress may change how they are paid. The House-passed defense bill would let the Navy set pay bands for up to 60,000 trades workers at the shipyards and regional maintenance centers, outside the usual federal grading rules. The Senate committee's bill would tie their pay to private rates for similar work. Neither is law yet.

Private employers are about to bid for the same people. In Texas, the Galveston Daily News reported that Gulf Copper is turning from repair to shipbuilding, with more than 2,400 jobs planned for welders, pipefitters and electricians.

Expect the public yards to stay short through 2027. They lost people last fall, have not refilled, and cannot offer a raise, while private yards hire at a record. If either bill's pay change becomes law,

the public yards can finally compete on pay, and trades in every Navy repair town will have public and private yards bidding for them. Either way, a pipefitter costs more this winter.

WHY IT MATTERS

Bottom line: If your 2027 plan counts on public-yard trades, check it against today's payroll, not the manning document. If you hire trades in a Navy repair town, expect a tighter market this winter, when Congress settles federal pay.

Sources: BLS QCEW, NAICS 336611, 1st quarter 2026, released Aug 28, 2026; 4th quarter 2025, released Jun 2, 2026; 3rd quarter 2025, released Mar 10, 2026; 1st quarter 2025; 2nd quarter 2018; BLS QCEW release calendar; OPM, deferred resignation FAQ; The President's pay letter, House Doc. 119-189, Aug 26, 2026; OPM CPM 2025-20, Dec 18, 2025; H.R. 8800, as passed by the House; S. 4784, as reported; The Galveston Daily News, Jun 2026

Congress set aside $1.5 billion for shipyard maintenance, and none of it went to ships

The money Congress labeled for shipyard maintenance is going to Army ground vehicles and Marine aircraft, while the Navy's own ship maintenance account came through the war untouched. That matters to anyone told an availability was canceled for lack of funds.

The reconciliation law Congress passed last year set aside $1.5 billion "for increased depot maintenance and shipyard maintenance activities," available through September 2029. It gave the Navy a separate $2 billion for depot and shipyard modernization.

The plan for the $1.5 billion includes no ships. The Pentagon's allocation plan, dated May 2026, puts $1.39 billion into the Army's legacy ground fleet and $110 million into Marine Corps aircraft, and lists no ship work under the line.

The Navy says the war is squeezing it. Fleet Forces commander Adm. Karl Thomas blamed "a combination of funding gaps and operational needs" for canceling 18 smaller maintenance periods, USNI News reported in September. USNI News had reported in August that the Navy was waiting on a supplemental "to make up for the funding pulled from the operations and maintenance account for the conflict with Iran."

The maintenance account tells a different story. The Pentagon comptroller's June 30 execution report shows nothing moved out of the Navy's ship depot maintenance account, with $9.7 billion of $13.5 billion obligated, or 72 percent. A year earlier, the account stood at 71 percent.

The squeeze is in operations. The same June report has the Navy's ship operations account 89 percent obligated with a quarter of the year left. And in the last quarter of fiscal 2025, the comptroller's year-end report shows the Navy moved $499 million into ship maintenance.

Expect the canceled periods to stay canceled even as the money gets spent. The maintenance account ran at last year's pace and lost nothing, while the operations account carried the war. That leaves the second half of Thomas's explanation, operational needs, as the one the record supports: the ships were at sea. A supplemental would most likely refill operations first, and the deferred work arrives when the ships come home.

WHY IT MATTERS

Bottom line: When an availability is canceled or moved, find out whether the money left or the ship did. This year, through June, the money stayed. Plan around when ships come home, and read the year-end execution report in December for the first sign of money moving out.

Sources: Public Law 119-21, Jul 4, 2025; FY 2026 Mandatory Funding Allocation Plan, May 2026; O&M execution report, FY2026 third quarter; O&M execution report, FY2025 third quarter; O&M execution report, FY2025 fourth quarter; USNI News, Aug 26, 2026; USNI News, Sep 23, 2026

No leadership column this week; nothing in the pipeline had a study behind it.

OPERATIONS MAINTENANCE & READINESS

A washer with no stock number cost the Navy a $60 million jet

A missing washer let an arresting wire fail on USS Harry S. Truman last year, and an F/A-18F went over the side. The washer has no stock number and no size on the maintenance card, and the same gap turned up on another carrier.

The Navy's investigation of the May 6, 2025 failure on USS Harry S. Truman found the clevis pin broke "due to lack of proper clevis washer." The jet went into the Red Sea, its crew was recovered, and the report puts the damage at $60 million, nearly all of it the aircraft.

Nothing on paper marks the washer as critical. It "does not have a national item identification number," the report says on page 26, and the card and technical manual "do not provide any measurements for the size of the proper washer."

Investigators found the pin had been put back without the correct washer on February 28, after a

repack, and a wrong-size washer on a second sheave damper on the same ship.

The checking that should have caught it was thin. The report found one of three arresting gear quality assurance positions filled, and a nightly walkthrough that takes three to four hours being done in 30 minutes. It says January's maintenance form was signed by the "runner" who brought rags, parts and grease, and that the leading petty officer "does not do maintenance and does not check maintenance after complete."

Truman was not the only carrier. When the Navy told every carrier to look, George Washington found a clevis washer missing and Nimitz found oversize castle nuts, according to the report. It also quotes the inquiry into Eisenhower's November 2023 wire failure, which blamed "an improper reassembly of the sheave" and "a culture of administrative shortcuts."

The fix is still on paper. The report recommended renaming the washer something like "retainer," adding a warning and a step to measure it, and marked those card changes as in progress. It also recommended giving the washer a stock number, with no status given. This desk found no public record that the card has changed.

Then Eisenhower lost another wire. USNI News reported that the carrier lost an EA-18G on September 28 when its arresting wire failed, and that Naval Air Force Atlantic said the cause "remains under investigation." Navy Times reported that the ship had finished sea trials in April after a planned incremental availability.

Expect the card to change before the checking does. Renaming a washer and adding a measuring step is a document fix. Both investigations traced a failed wire to a reassembly that went wrong, and on Truman the form was signed by someone who did not do the work. A clearer card still depends on a second person looking at the assembly, and that is the job the report found mostly unfilled.

> **WHY IT MATTERS**
> **Bottom line:** Find the parts in your procedures that hold an assembly together but carry no stock number, no size and no warning. Add the size and a step to measure it, and have someone who did not do the work check the reassembly.

Sources: Command investigation, USS Harry S. Truman, Jun 9, 2025; USNI News, Oct 3, 2026; Navy Times, Oct 6, 2026

MAINTENANCE ENGINEERING & TECHNOLOGIES

The fiscal 2029 Standard Items drop the spark arrestor and put an engineer on hard lifts

The fiscal 2029 Standard Items take the spark arrestor off hot-work ventilation, require an engineer's signature on hard rigging, and keep some pipe joints bare until the system runs at pressure. None of it touches a ship in the yard today.

The release letter says the new items "must be invoked" in availabilities "with a start date in FY29," which means those starting in October 2028 or later.

The arrestor change is the surprise. The summary that came with the items says the old arrestor rule "creates a greater immediate hazard than the one it is meant to prevent." It does not say what that hazard was.

The fiscal 2028 item 009-008 required a spark arrestor at the inlet of each hot-work ventilation line. The fiscal 2029 version drops it and requires those ducts to be marked "Hot Work Use Only" and kept off fuel and sewage venting, painting, decking and solvent work. The hot-work safety plan must still give "means to inhibit sparks and slag from being drawn into the ventilation."

Rigging gets an engineer. A new item, 009-014, requires a rigging plan for each lift the supervisor flags, "signed by a Degreed Engineer" and delivered "at least 5 days prior to each evolution." Its calculations must check the stresses on the ship's structure against a structural manual marked RESTRICTED. After a dropped load, an overload, an injury or damage, every further critical non-crane lift waits for the supervisor's approval "until the cause is determined and corrective actions are implemented."

Some pipe joints now wait for pressure. The fiscal 2028 item 009-071 let a joint that passed its test be insulated and painted. The fiscal 2029 text carves out mechanical joints in steam, compressed air and compressed gas systems, which must be checked for tightness "at nominal operating pressure and temperature" and "remain unpainted and uninsulated." The summary says this resolves "a direct conflict" with chapter 505 of the Naval Ships' Technical Manual.

Expect the rigging item to cost the most days. A second duct set is a purchase, and late insulation is a sequence a planner can see coming. A signed structural analysis five days before each flagged lift needs an engineer with access to a restricted manual, so a lift found mid-availability waits for one, and one accident holds every other critical lift on the ship. A yard without a rigging engineer on call will feel it first.

WHY IT MATTERS

Bottom line: For fiscal 2029 work, three new limits arrive together: engineering hours for flagged lifts, a second set of marked ducts, and insulators and painters held until steam and air systems are back at pressure. Find out which of the three you are short of before your first fiscal 2029 package locks.

Sources: Navy Regional Maintenance Center, FY29 release letter and summary of changes, Sep 30, 2026; NAVSEA Standard Item 009-008, FY-28; 009-008, FY-29; 009-014, FY-29; 009-071, FY-28; 009-071, FY-29

WATERFRONT OPS & PRODUCTION

The Navy is practicing wartime repair in Japanese ports away from Yokosuka

The Navy already runs a large repair yard in Japan, and it is rehearsing repairs in other Japanese ports anyway. The fleet says the point is readiness for crisis or conflict, and each rehearsal has leaned on Navy or partner-navy engineers to judge the damage.

The Japan base is big. The Navy's ship repair facility at Yokosuka employs about 2,500 Japanese nationals alongside 120 service members and 325 civilians, USNI News reported in June, citing NAVSEA.

Hakodate is the second Japanese port to host the rehearsal. U.S. 7th Fleet said on September 30 that USS Warrior's sailors and local Japanese repair workers resolved planned maintenance items in Hakodate, after a first run in Maizuru. The crew also worked a battle damage table-top with a NAVSEA team flown in to test "the crew's engineering assessment processes and repair decision-making procedures." The fleet said the series exists so "technical proficiencies exist to maintain fleet readiness during times of crisis or conflict."

The Navy is starting from behind. GAO reported in June 2021 that Navy planning for battle damage repair in a major war was in its early stages, with no established doctrine, unclear command roles and too little repair capacity.

The rehearsal has run across the region. The Navy said in February that its ship repair detachment in Singapore supported a run on USS Pinckney. Naval News reported in April that Philippine Naval Sea Systems Command staff and local contractors joined a run on USS Ashland at Cebu, a port farther from South China Sea hotspots than Subic Bay. It also reported that Naval Supply Systems Command sought a Singapore-based contractor last fall to carry out repairs at yards in Japan, South Korea, the Philippines, Australia and India.

Expect the engineers who judge damage to become the limit, ahead of yards or workers. Japan already has the workers, local yards are taking part, and the Navy is lining up contracted repair across the region. Each rehearsal with a public account brought engineering judgment from somewhere else: a NAVSEA team in Hakodate, a Navy detachment in Singapore, Philippine Naval Sea Systems Command staff in Cebu. If several ships are hit at once in different ports, one team cannot fly to each, so more of that judgment will be pushed onto crews.

WHY IT MATTERS

Bottom line: Dispersed repair will be limited by people who can judge damage and approve a fix. If you lead engineering, planning or production, know who on your team could make those calls for a ship you cannot reach, and train them now.

Sources: USNI News, Jun 4, 2026; U.S. 7th Fleet via U.S. Pacific Fleet, Sep 30, 2026; GAO-21-246, Jun 2, 2021; U.S. Navy, Feb 11, 2026; Naval News, Apr 8, 2026

The Waterfront Brief is compiled weekly by the B2 vault's research engine from primary sources and verified trade reporting. Scope: US shipbuilding, US Navy sustainment, and partners across the Indo-Pacific region; out-of-area items only when there is a direct, stated lesson. Freshness policy: every article's anchor source is under 12 months old; older material appears only as dated context or a flagged exception. A linked sentence means the named source says it, not that this desk has independently verified it. Corrections welcome; staged sources are retained for audit.

UPCOMING EVENTS

Nearest first, filling the page. **Bold** marks a decision that closes inside the next 60 days.

Dates	Event	Register by	Why it matters
Oct 20-21, 2026	NSRP Workforce & Compliance and Production Planning Joint Panel, Pensacola, FL (NSRP)	In-person closed Oct 8; virtual option offered	Workforce and production-planning panels, jointly; virtual option
Oct 28-30, 2026	SNAME Maritime Convention 2026, Royal Sonesta Houston Galleria, Houston, TX (SNAME)	Not printed	Workforce pipeline: naval architects, marine engineers and yard production people in one technical program
Nov 12-13, 2026	Naval Submarine League Annual Symposium 2026, Arlington, VA (NSL)	To be posted	Submarine industrial base: the submarine force and its yards set the year's priorities
Dec 8-11, 2026	Department of War Maintenance Symposium 2026, Fort Lauderdale, FL (SAE for DoW)	**Open; rates rise after Nov 7**	Maintenance execution: the department-wide depot maintenance meeting
Jan 12-14, 2027	SNA National Symposium 2027, Arlington, VA (SNA)	Not yet open	Program priorities: where the surface force states its maintenance priorities
Jan 26-28, 2027	Military Additive Manufacturing Summit (MILAM), Tampa, FL (DSI)	Early rate closed Oct 2	Additive qualification: defense additive qualification and NAVSEA-spec adoption
Feb 8-10, 2027	NDIA Annual Logistics Forum 2027, Renaissance Orlando at SeaWorld, Orlando, FL (NDIA)	Not printed	Supply chain: lifecycle sustainment and supply-chain community (the 41st forum)
Feb 16-18, 2027	WEST 2027, San Diego, CA (AFCEA/USNI)	Not printed	Program priorities: the Pacific-side sea services conference
Mar 23-25, 2027	NSRP All Panel Meeting 2027, North Charleston, SC (NSRP)	"Coming soon"	Regional capacity: where yard R&D ideas get teamed program-wide
Apr 4-7, 2027	Sea-Air-Space 2027, National Harbor, MD (Navy League)	Not yet open	Program priorities: the largest US maritime defense exposition
Apr 11-15, 2027	AMPP Annual Conference + Expo 2027, Columbus, Ohio (AMPP)	Abstracts closed Oct 1; attendee registration not printed	Preservation: the corrosion and coatings profession's main event
Jun 8-10, 2027	MegaRust 2027, Hampton, VA (ASNE)	Attendee registration not yet open	Maintenance execution: the Navy corrosion event
Nov 2-4, 2027	Indo Pacific 2027 International Maritime Exposition, Sydney (AMDA Foundation)	Not published yet	Supply chain / policy engagement: the Pacific's naval industry exposition; allied yards exhibit